

Manappuram Finance

BUY

Gold loan growth rebounds but at cost

Summary

Manappuram Finance's gold portfolio grew at 8.8% QoQ led by 7.8% QoQ growth in tonnage. However, growth came from lower yielding gold loans which resulted into lower profitability (down 48% YoY; 32% QoQ). Overall AUM growth improved to 10% YoY vs 6% YoY (Q2FY22). MFI reported deterioration in asset quality as GNPA stood at 2.8% vs 2.6% QoQ; also reported loss (Rs.6mn). We need to watch out for recovery in MFI portfolio in FY23. NII declined by 12% YoY led by decline in NIMs; PPOP declined by 39% YoY led by higher operating expenses (up 47% YoY). PAT declined by 49% YoY led by higher provisions (up 31% YoY). Management maintained guidance for gold loan growth at 10-15% (FY22). We have downgraded estimates (down 7% FY24 ABV); maintained 'BUY' rating with a new TP of Rs.200 (earlier Rs.240), valuing it at 1.6x P/ABV FY24.

Key Highlights and Investment Rationale

- **AUM growth remains strongly:** AUM grew by 7% QoQ (10% YoY) led by rise in gold portfolio by 8.8% QoQ (up 1% YoY) while non-gold portfolio grew by 3.5% QoQ (up 34% YoY). Increase in Gold AUM growth (up 8.8% QoQ) was led by offering lower yields for high ticket size loans. Gold holdings grew by 8% QoQ (up 2% YoY) to 69.4 tonne. Management guided for 15-20% FY23 AUM growth led by non-gold portfolio.
- **NIMs declined sequentially:** NIMs declined sequentially due to decline in yields on loan book led by competitive pressure. Further decline in yields to watch out for.
- **Outlook:** MFGL with ~67% of AUM towards Gold loan portfolio profitability impacted; non-gold portfolio should show improvement on profitability. We believe that the company has the potential to deliver 20%+ ROE (ROA of 4%+).

TP **Rs 200**

CMP **Rs 143**

Potential upside/downside **+40%**

Previous Rating **BUY**

Price Performance (%)

	-1m	-3m	-12m
Absolute	(15.3)	(34.5)	(18.8)
Rel to Sensex	(7.5)	(27.5)	(28.2)

V/s Consensus

EPS (Rs)	FY22E	FY23E	FY24E
IDBI Capital	15.3	17.2	20.7
Consensus	18.5	22.1	26.6
% difference	(17.4)	(22.0)	(22.2)

Key Stock Data

Bloomberg/Reuters	MGFL IN /MNFL.BO
Sector	Finance
Shares o/s (mn)	846
Market cap. (Rs mn)	121,034
3-m daily avg Trd value (Rs mn)	80.4
52-week high / low	Rs224 / 139
Sensex / Nifty	56,406 / 16,843

Shareholding Pattern (%)

Promoters	35.1
FII	34.8
DII	13.4
Public	16.7

Financial snapshot

(Rs mn)

Year	FY2020	FY2021	FY2022E	FY2023E	FY2024E
NII	33,849	39,707	37,489	40,318	45,646
Change (yoy, %)		17.3%	-5.6%	7.5%	13.2%
Net Profit	14,803	17,250	12,916	14,534	17,557
Change (yoy, %)		16.5%	-25.1%	12.5%	20.8%
EPS (Rs)	17.5	20.4	15.3	17.2	20.7
Change (yoy, %)		16.6%	-25.0%	12.4%	20.3%
ABV (Rs)	67.2	83.0	93.4	106.7	122.8
PER (x)	8.2	7.0	9.4	8.3	6.9
P/ABV (x)	2.1	1.7	1.5	1.3	1.2
ROE (%)	28.8	26.4	16.7	16.7	17.7
ROA (%)	5.9	5.7	3.9	4.1	4.4
GNPA (%)	0.9	2.3	2.4	2.5	2.5
NNPA (%)	0.3	1.1	0.8	0.6	0.6
CAR (%)	21.7	29.0	25.8	26.2	26.9

Source: IDBI Capital Research

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Conference Call Highlights

Business outlook:

- Company mentions in January, business momentum was not there and expecting February to be better (as opening up of business).
- Company losing customers at a yield of 25%, to bring down around 20%. Maintain a growth of 1-2% on a monthly run rate. Yield movement will depend upon market conditions, government policies.
- If competitor offers at 17% and company offers 21%, growth capturing is 1.5%-2% per month.
- Company tracks ticket size above Rs.1lakh (seen 3-4% increase during the quarter). Overall proportion of 54% ticket size above Rs.1lakh. There is less demand in the lower ticket size customers (from agriculture sector, private construction down).
- Tweaks made in certain ticket sizes like Rs.80k-1lakh to ensure yield goes up to 21%. Company sees visibility of achieving 15-20% of AUM growth during FY23.
- Gold loan average loan size was 53,397 with an average duration of 111 days.
- Interest Receivable on Gold Loan was 3.6% of AUM amounting to 738 Cr. Weighted Average LTV of 2,924/gm or 65% of the gold price as on 31st Dec.
- Gold Loan Disbursal of Rs 24,929 Cr during Q3 FY22. Online gold loan book contributed around 41%.

Asset Quality:

- Stage 3 assets is at 0.9%. Next 2-3 quarters, company sees certain impact on credit costs, post that it should be back to pre-covid levels. Normal ~2% credit cost from next year.
- Collection Efficiency from MFI Business during Q3 FY 22 was 96% with a disbursement of 2,000 Cr. Collection Efficiency of 103% vs 102% for Q2 FY 22.
- Home Loan Business has a collection efficiency of 100% vs 95% for Q2 FY 22 spread across 73 branches.
- Provision and write off on standalone basis of 17 Cr for Q3 FY 22 vs 10 Cr for Q2 FY 22.
- Collection efficiency of 97-98% inclusive of all restructured, emergency credit given etc.

Exhibit 1: Quarterly Snapshot

(Rs mn)

Year-end: March	Q3FY22	Q3FY21	Q2FY22	YoY (%)	QoQ (%)
Interest Income	14,461	15,919	14,787	-9.2	-2.2
Interest Expenses	5,311	5,573	4,924	-4.7	7.9
Net Interest Income	9,151	10,346	9,863	-11.6	-7.2
NIM (%)	12.7	15.6	15.2	-292 bps	-251 bps
Non-Interest Income	607	581	758	4.5	-19.8
Operating Income	9,758	10,927	10,621	-10.7	-8.1
Staff Cost	3,057	2,173	2,878	40.7	6.2
Other Op Exp	2,171	1,381	1,715	57.2	26.6
Total Operating Expenses	5,228	3,554	4,593	47.1	13.8
Cost to Income (%)	53.6	32.5	43.2	2105 bps	1034 bps
Cost to AUM (%)	7.0	5.5	7.0	150 bps	0 bps
Operating Profit	4,530	7,373	6,028	-38.6	-24.9
Provisions	1,048	802	1,078	30.6	-2.8
Credit Cost (%)	1.5	1.2	1.7	24 bps	-21 bps
PBT	3,482	6,571	4,950	-47.0	-29.7
Tax/Minority Int.	930	1,595	1,185	-41.7	-21.5
-effective tax rate	26.7	24.3	23.9	243 bps	277 bps
PAT	2,552	4,976	3,766	-48.7	-32.2
EPS (Rs)	3.1	5.7	4.4	-46.0	-29.4
BV (Rs)	96.4	81.2	94.1	18.7	2.4
AUM	3,04,072	2,76,425	2,84,216	10.0	7.0

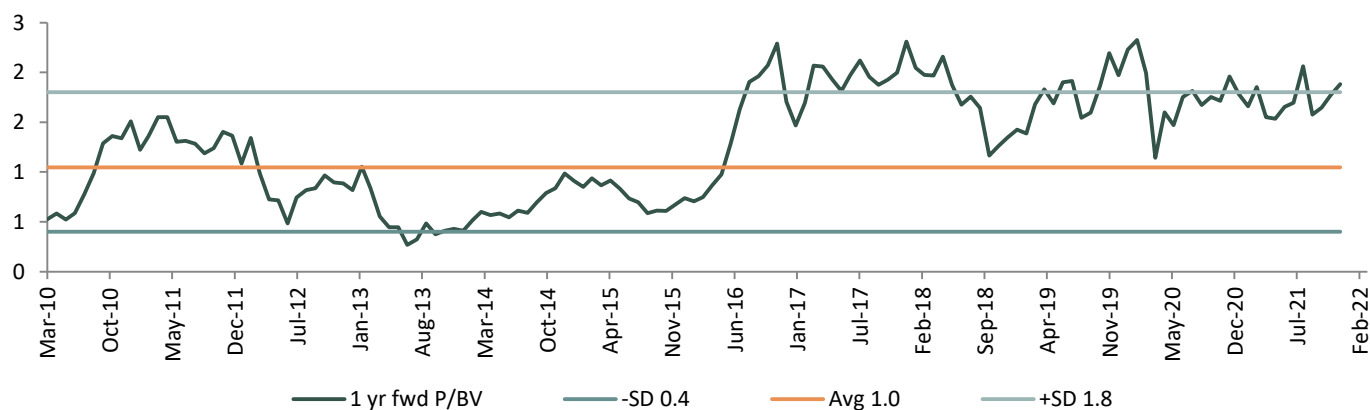
Source: Company; IDBI Capital Research

Exhibit 2: ROE Decomposition

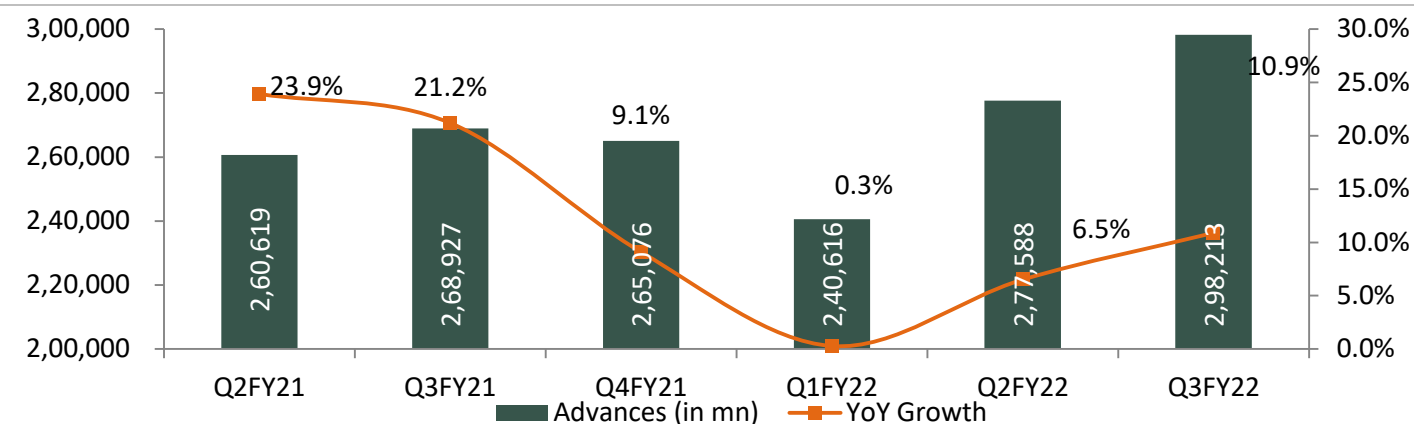
(%)	FY20	FY21	FY22E	FY23E	FY24E
NII	13.5	13.0	11.4	11.3	11.6
Non-Int Inc	1.3	0.6	0.8	0.6	0.6
Net Revenue	14.9	13.7	12.2	11.8	12.1
Op.Exp	5.9	4.6	5.6	5.2	5.2
Op.Profit	9.0	9.1	6.6	6.7	6.9
Provisions	1.0	1.4	1.3	1.2	1.0
-Standard	0.0	0.1	0.0	0.0	0.0
-Loan loss	0.9	1.3	1.3	1.2	0.9
PBT	8.0	7.6	5.3	5.4	5.9
Tax	2.1	1.9	1.3	1.4	1.5
ROA	5.9	5.7	3.9	4.1	4.4
Leverage (x)	4.9	4.7	4.2	4.1	4.0
ROE	28.8	26.4	16.7	16.7	17.7

Source: Company; IDBI Capital Research

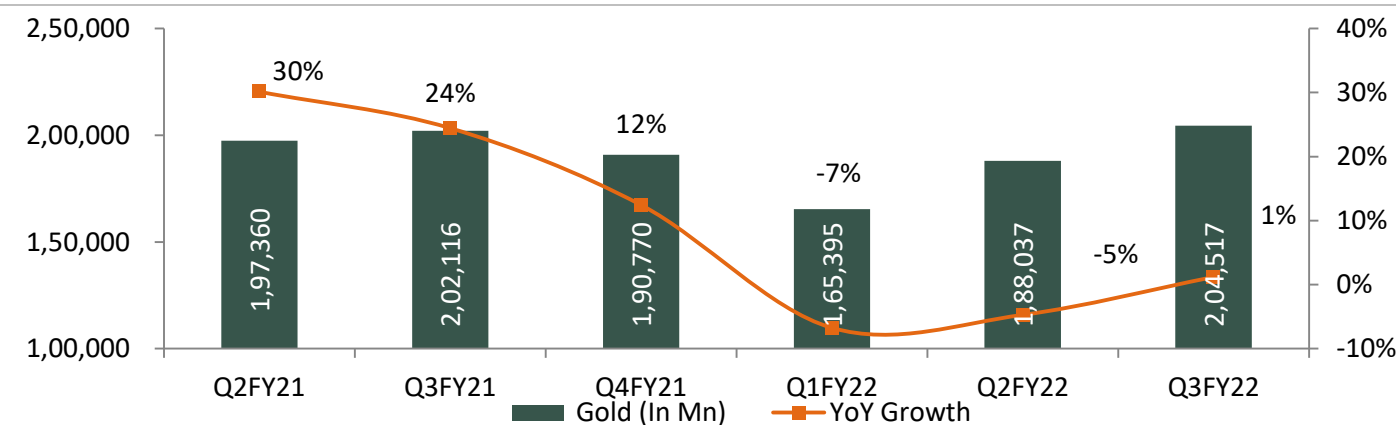
Exhibit 3: One-year forward P/ABV



Source: Company; IDBI Capital Research

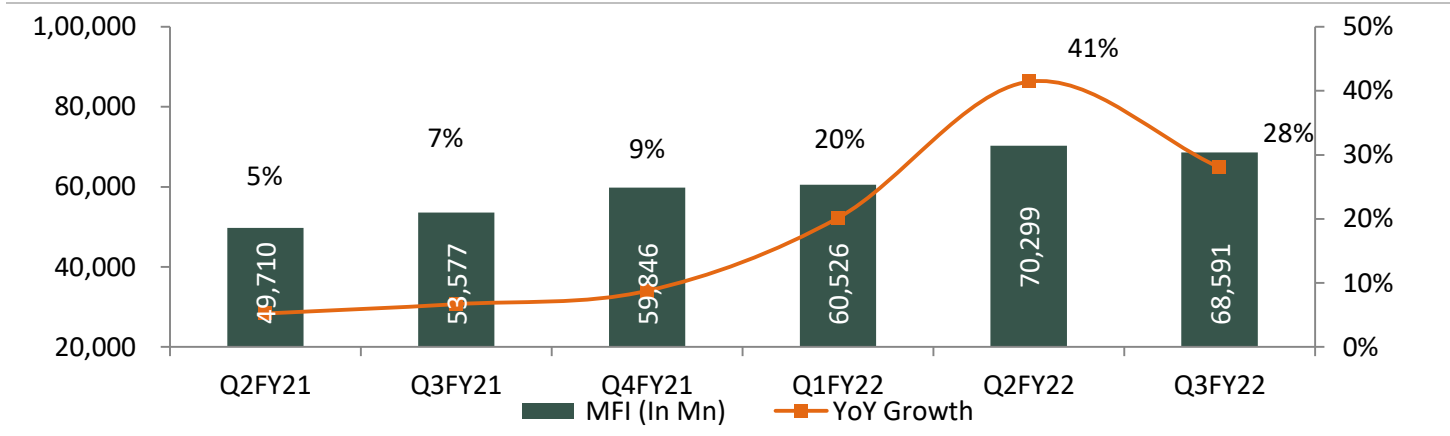
Exhibit 4: Advances growth showed an uptick


Source: Company; IDBI Capital Research

Exhibit 5: Gold Loan AUM growth in Positive trajectory


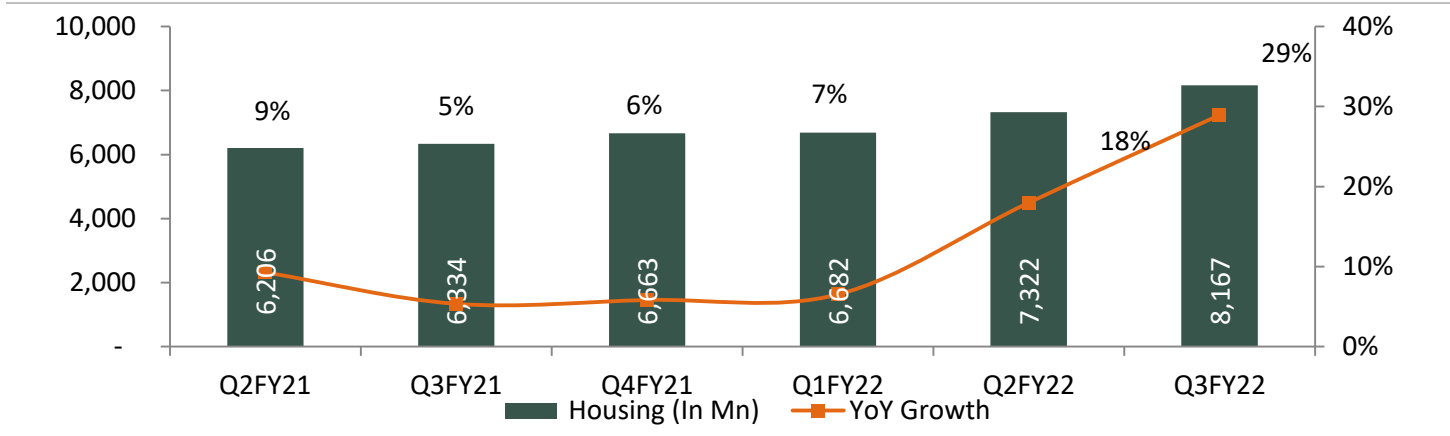
Source: Company; IDBI Capital Research

Exhibit 6: MFI AUM decreased sequentially

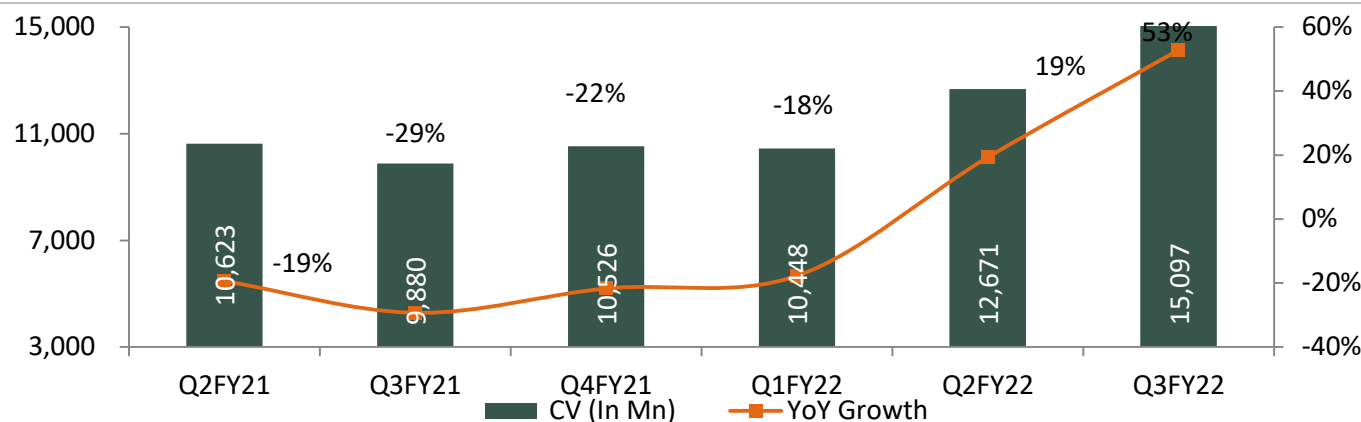


Source: Company; IDBI Capital Research

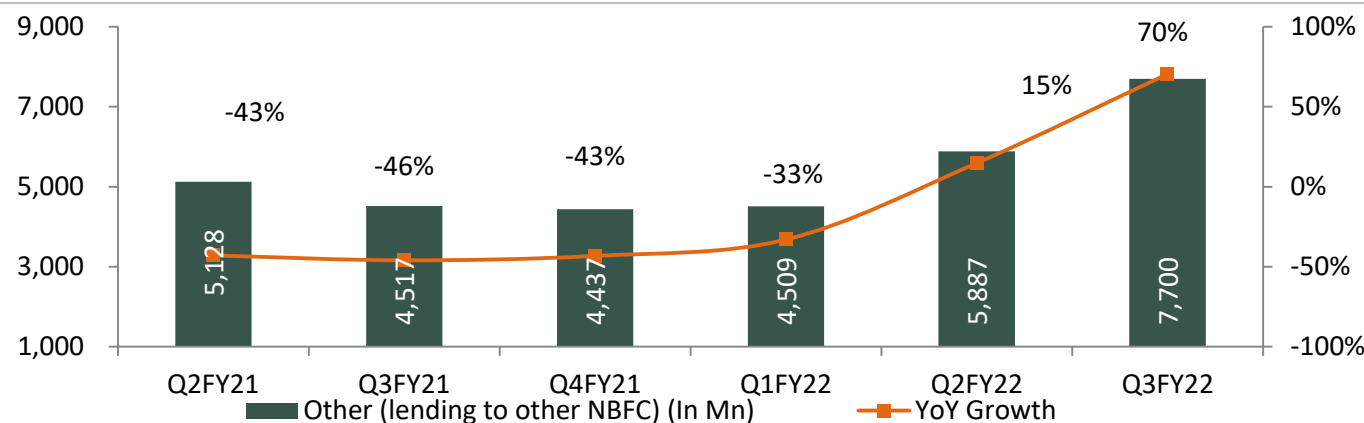
Exhibit 7: Housing AUM continued showing an uptrend



Source: Company; IDBI Capital Research

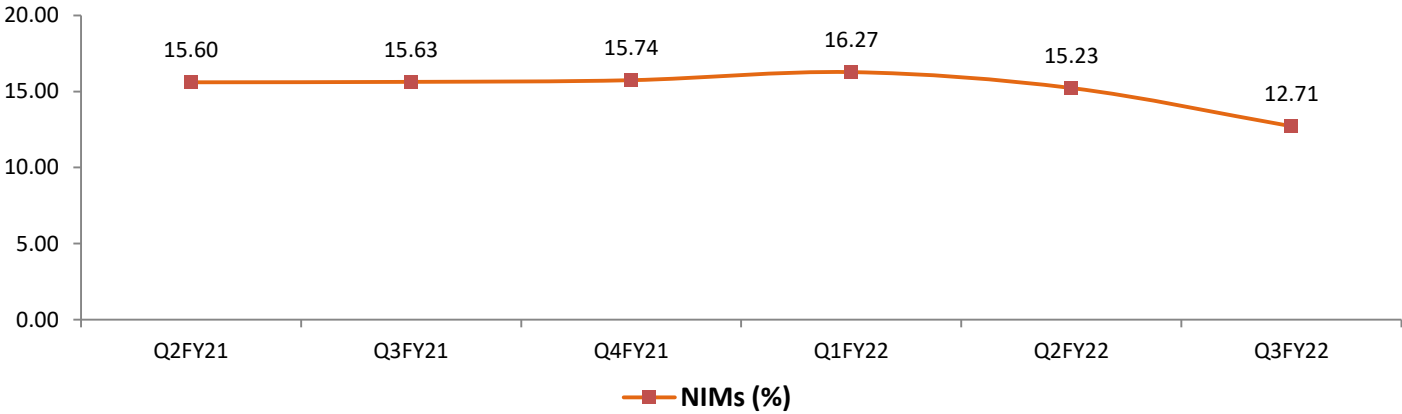
Exhibit 8: CV Segment AUM showed positive trend


Source: Company; IDBI Capital Research

Exhibit 9: Others (Lending to other NBFC) AUM showed strong Y-o-Y growth rate


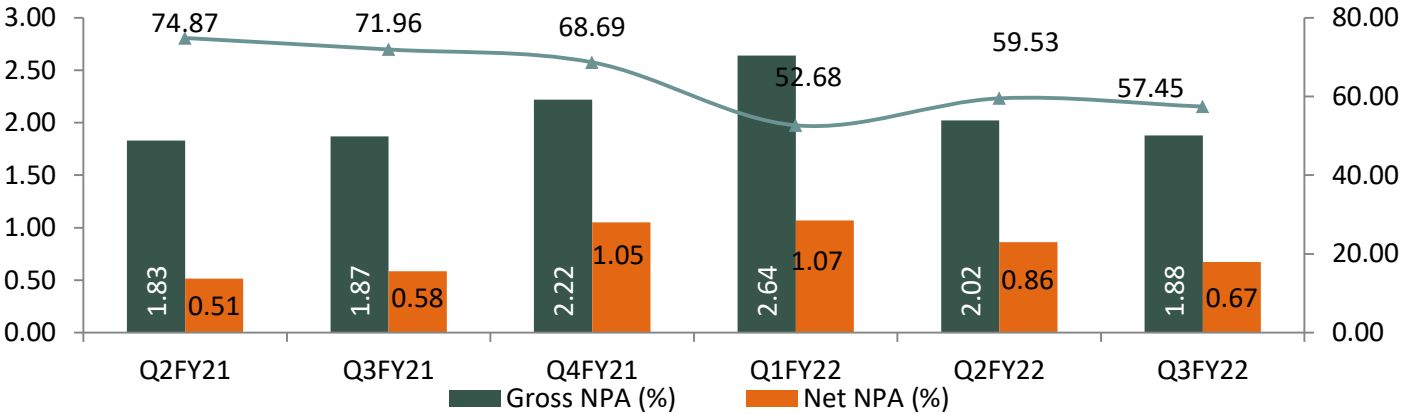
Source: Company; IDBI Capital Research

Exhibit 10: Net Interest margins showed a downward trend sequentially

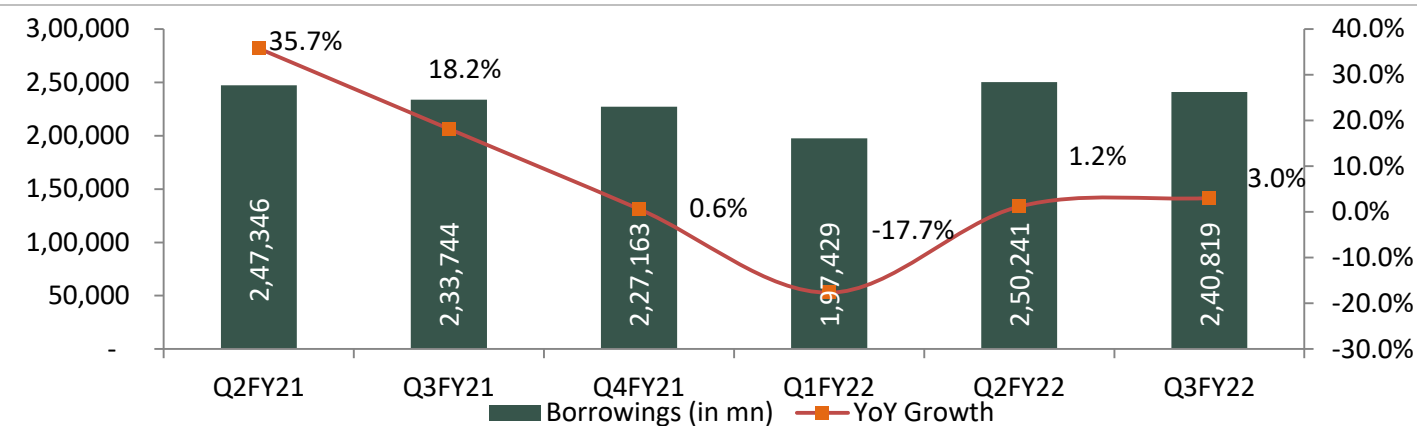


Source: Company; IDBI Capital Research

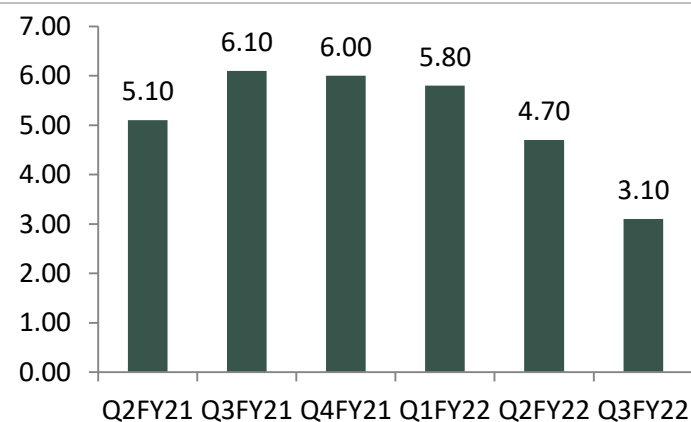
Exhibit 11: Asset quality improved marginally



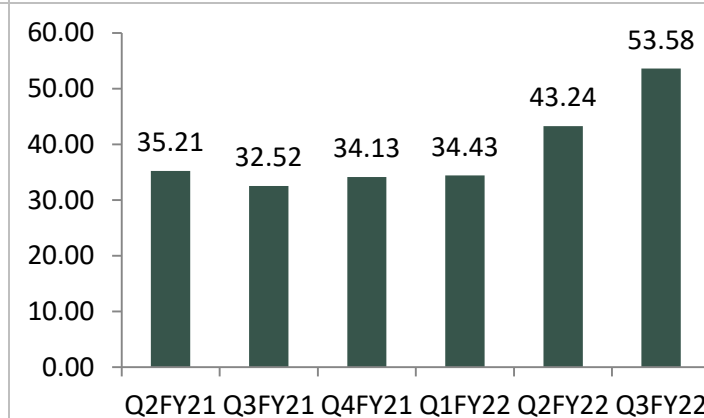
Source: Company; IDBI Capital Research

Exhibit 12: Borrowings showed moderate uptick sequentially


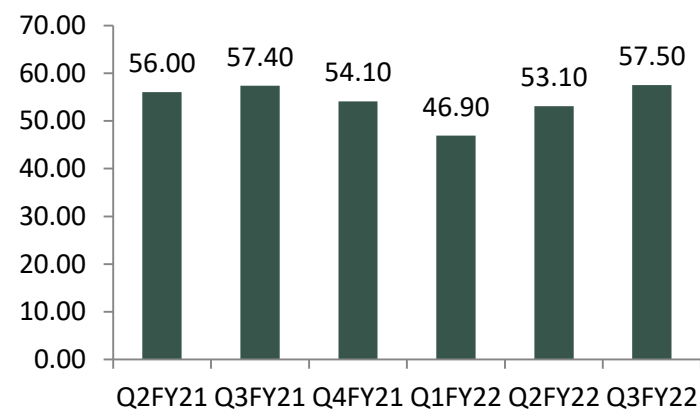
Source: Company; IDBI Capital Research

Exhibit 13: Return on Assets declined


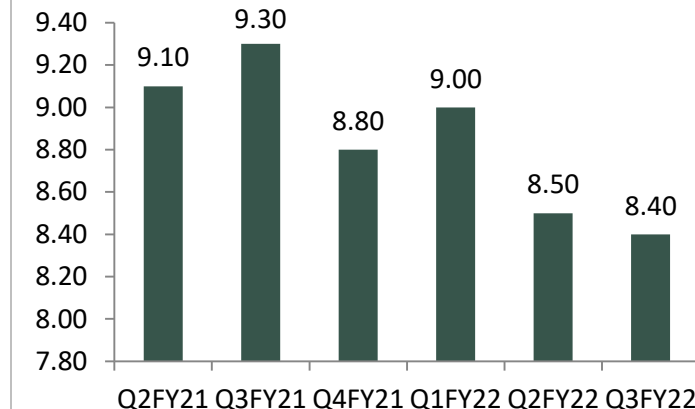
Source: Company; IDBI Capital Research

Exhibit 14: Cost to Income Ratio inched up


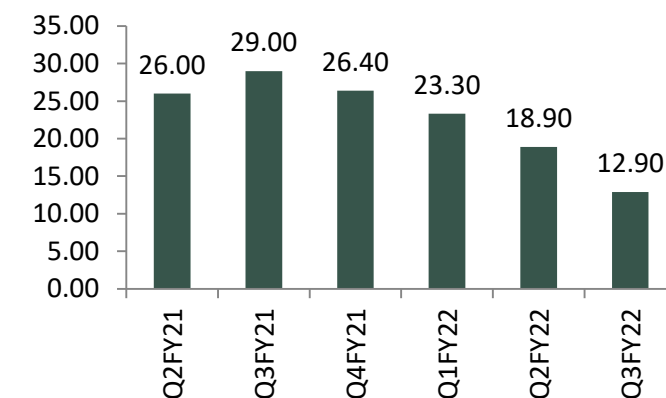
Source: Company; IDBI Capital Research

Exhibit 15: Average AUM per Branch improved


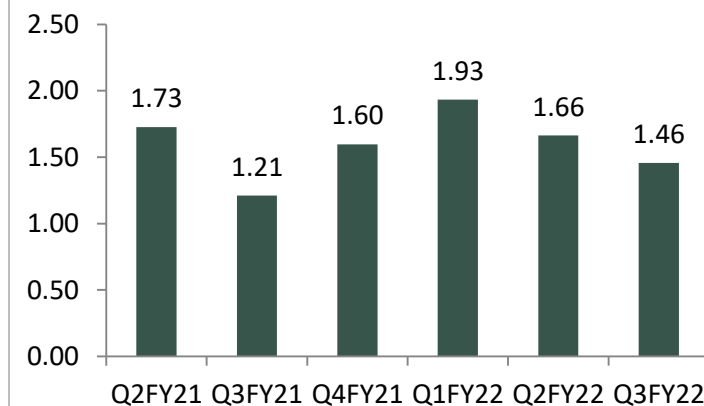
Source: Company; IDBI Capital Research

Exhibit 16: Cost of Funds declined sequentially


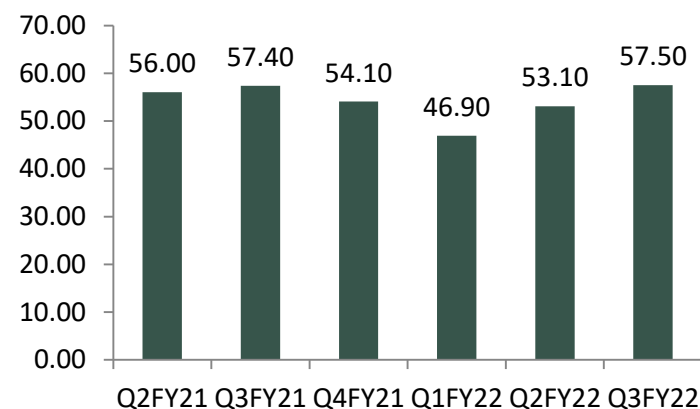
Source: Company; IDBI Capital Research

Exhibit 17: Return on Equity declined sequentially


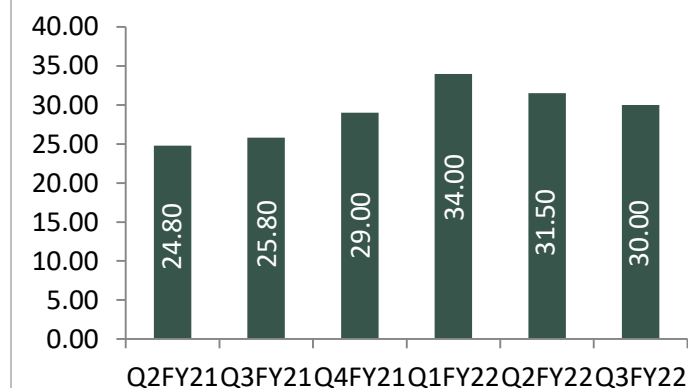
Source: Company; IDBI Capital Research

Exhibit 18: Credit Cost decline sequentially


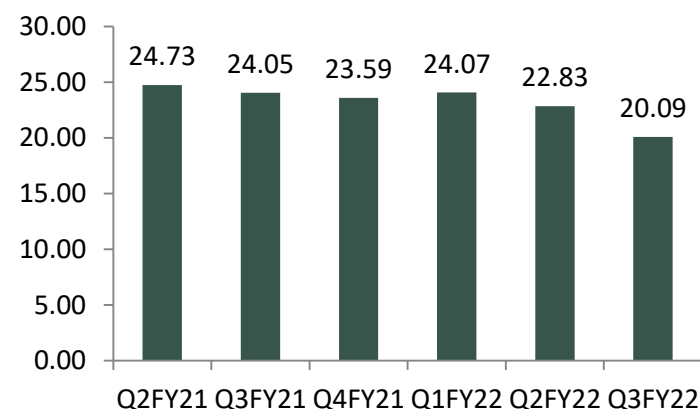
Source: Company; IDBI Capital Research

Exhibit 19: Average AUM per Branch (Rs Mn)


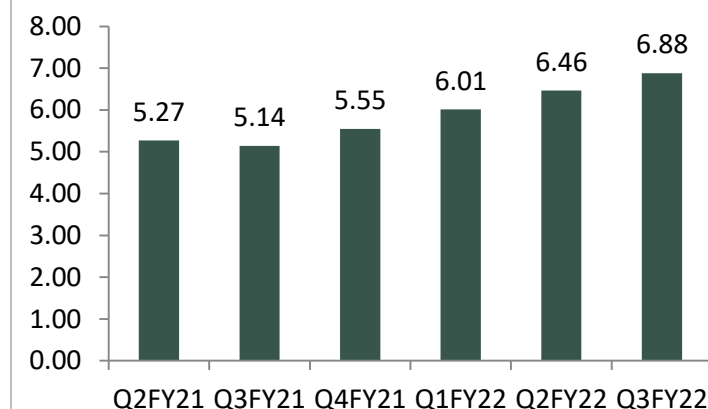
Source: Company; IDBI Capital Research

Exhibit 20: CAR remains comfortable


Source: Company; IDBI Capital Research

Exhibit 21: Yield on Loans expected to remain stable


Source: Company; IDBI Capital Research

Exhibit 22: Costs to AUM spiked during the Quarter


Source: Company; IDBI Capital Research

Financial Summary

Profit & Loss Account

(Rs mn)

Year-end: March	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net interest income	27,012	33,849	39,707	37,489	40,318	45,646
<i>Change (yoy, %)</i>		25.3%	17.3%	-5.6%	7.5%	13.2%
Non-Interest Income	1,959	3,341	1,850	2,520	1,988	2,223
Net Revenue	28,971	37,190	41,557	40,009	42,306	47,869
Operating expenses	13,858	14,741	13,995	18,436	18,493	20,572
Employee expenses	7,201	8,301	8,429	11,367	9,657	9,527
Other expenses	6,657	6,440	5,566	7,069	8,836	11,045
Pre-Provision Profit	15,113	22,449	27,562	21,573	23,812	27,298
<i>Change (yoy, %)</i>		48.5%	22.8%	-21.7%	10.4%	14.6%
Provision	547	2,376	4,401	4,313	4,389	3,835
PBT	14,566	20,073	23,161	17,260	19,423	23,463
Taxes	5,081	5,270	5,911	4,344	4,889	5,906
<i>Effective tax rate (%)</i>	34.9%	26.3%	25.5%	25.2%	25.2%	25.2%
Net profit	9,485	14,803	17,250	12,916	14,534	17,557
<i>Change (yoy, %)</i>		56.1%	16.5%	-25.1%	12.5%	20.8%
EPS	11.3	17.5	20.4	15.3	17.2	20.7
Return on Equity (%)	22.6	28.8	26.4	16.7	16.7	17.7
Return on Asset (%)	5.0	5.9	5.7	3.9	4.1	4.4

Balance Sheet

(Rs mn)

Year-end: March	FY19	FY20	FY21	FY22E	FY23E	FY24E
Capital	1,686	1,690	1,693	1,693	1,693	1,693
Reserves	43,780	55,771	71,382	79,771	90,730	104,562
Networth	45,466	57,461	73,074	81,463	92,423	106,255
Borrowings	151,757	225,735	227,162	242,186	259,662	287,583
Other liabilities	7,234	12,155	13,142	17,850	21,186	23,160
Total Liab. & Equity	204,457	295,351	313,378	341,499	373,271	416,997
Fixed Assets	3,674	3,308	2,942	3,471	3,992	4,590
Investments	1,738	905	3,380	4,225	4,225	4,225
Loans	178,100	242,971	265,076	296,414	331,325	370,583
Cash	11,642	36,668	29,124	23,713	19,879	22,235
Other assets	9,304	11,499	12,856	13,676	13,850	15,363
Total assets	204,457	295,351	313,378	341,499	373,271	416,997

Financial Ratios

(%)

Year-end: March	FY19	FY20	FY21	FY22E	FY23E	FY24E
Growth						
Advances	13.7	36.4	9.1	11.8	11.8	11.8
NII	13.4	25.3	17.3	-5.6	7.5	13.2
Pre-Provision Profit	23.2	48.5	22.8	-21.7	10.4	14.6
Net Profit	41.9	56.1	16.5	-25.1	12.5	20.8
Spreads						
Yield on Assets	24.2	24.8	24.4	20.9	20.8	20.8
Cost of Funds	9.7	9.7	9.8	9.0	10.0	10.0
NIM	16.1	16.1	15.6	13.4	12.8	13.0
Spread	14.5	15.1	14.6	11.9	10.8	10.8
Operating Efficiency						
Cost-to-Income	47.8	39.6	33.7	46.1	43.7	43.0
Cost-to-AUM	8.3	7.0	5.5	6.6	5.9	5.9
Asset Quality						
GNPA	0.7	0.9	2.3	2.4	2.5	2.5
NNPA	0.3	0.3	1.1	0.8	0.6	0.6
Provision Coverage	49.4	69.0	52.7	66.2	74.7	75.5
Credit Cost	0.3	1.1	2.3	1.5	1.4	1.0
Capital Adequacy						
CAR	23.7	21.7	29.0	25.8	26.2	26.9
Tier I	23.3	21.4	29.0	25.4	25.8	26.5
Valuation						
EPS	11.3	17.5	20.4	15.3	17.2	20.7
ABV	53.2	67.2	83.0	93.4	106.7	122.8
P/E	12.7	8.2	7.0	9.4	8.3	6.9
P/BV	2.7	2.1	1.7	1.5	1.31	1.1
ROE	22.6	28.8	26.4	16.7	16.7	17.7
ROA	5.0	5.9	5.7	3.9	4.1	4.4

Source: Company; IDBI Capital Research



Notes

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Key to Ratings Stocks:

BUY: 15%+; **HOLD:** -5% to 15%; **SELL:** -5% and below.

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